Driven Brands Holdings

Business Development Dossier

Industry	**Automotive Services / PE-backed Multi-brand**
Revenue	**$2.4B**
Employees	**10,000**
Ideal Customer Profile Score	**87**

ICP SCORING MODEL


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ICP = Signals + Revenue + Employees + Fit   (max 100)
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Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% | <90d: 30% | <180d: 20% | older: 10%
Revenue (0-25)	$500M-$10B sweet spot -> 70-100% of 25 pts Below $500M -> pro-rata x 0.5 | Above $10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) | 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	Driven Brands Holdings Inc.
Headquarters	Charlotte, North Carolina
Founded	2015

Ownership

Public (NASDAQ: DRVN); originally PE-backed by Roark Capital Group (took public in 2021). Roark maintains significant ownership. Former CEO moved to non-executive chair.

Footprint

5,000+ locations across North America; primarily franchise model (Meineke, Maaco, CARSTAR) with company-owned Take 5 Oil Change locations. International presence limited.

SECTION 1b

Company Overview

Driven Brands is the largest automotive services company in North America, operating 5,000+ locations under brands including Take 5 Oil Change, Meineke, Maaco, CARSTAR, and 1-800-Radiator. Following financial reporting missteps that wiped $1B in market value, a new CEO (Daniel Rivera, May 2025) is leading a turnaround: selling the car wash business, simplifying segments, reducing debt, and rebuilding investor trust while managing a franchisee network of thousands of independent operators.

SECTION 2

Financial Health & Growth Stage

Understanding Driven Brands Holdings's financial position and trajectory is critical to framing any engagement conversation.

Revenue: $2.4B TTM (Aug 2025). Q1 2025: $516.2M (+7% YoY). Q3 2025: $535.7M (+7% YoY). Take 5 Oil Change driving growth.

Profitability: Recovering after financial reporting missteps. Simplified segment structure improving visibility. Take 5 company-owned model has higher margins than franchise operations.

Debt: Elevated from acquisition-fueled growth. Using car wash sale proceeds to reduce leverage to 3x or less by end of 2026. Debt reduction is top capital priority.

Analyst Sentiment: Cautiously optimistic on turnaround. New CEO Rivera brings credibility. Take 5 growth is the bright spot. Key risk: execution on turnaround while managing complex multi-brand portfolio.

Key Pressures: Legacy financial reporting trust deficit; debt load constraining strategic flexibility; multi-brand complexity; franchisee relationship management during restructuring.

Key Tailwinds: Take 5 Oil Change growth momentum; simplified segment structure; new leadership team bringing fresh perspective; automotive aftermarket is recession-resistant.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Mo Khalid - Chief Operating Officer [PRIORITY TARGET]

Operational leadership across 5,000+ locations and multi-brand portfolio

Outreach rationale: Owns operational execution across 5,000+ locations and multiple brands. The simplified segment structure must translate into actual operational changes at the unit level - Mo is the person making that happen daily. Natural champion for McChrystal's cross-functional alignment between brand teams.

SVP of Franchise Operations - SVP Franchise Operations [INFERRED] [PRIORITY TARGET]

Manages relationships with thousands of franchisees across Meineke, Maaco, CARSTAR

Outreach rationale: The franchisee network is the execution layer - any strategic change must flow through franchise relationships. This leader manages the tension between corporate transformation goals and franchisee independence. McChrystal's decentralized authority model directly addresses franchise alignment.

Additional leadership team members relevant to the engagement:

Daniel Rivera - President & CEO

Turnaround CEO; brought in specifically to lead post-crisis restructuring

Jonathan Fitzpatrick - Non-Executive Chairman

Led company through IPO and growth phase; maintained board role during transition

Joel Arnao - Chief Financial Officer [INFERRED]

Financial leadership during turnaround; debt reduction mandate

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how Driven Brands Holdings operates today and where friction exists.

Organizational Structure

Simplified from complex multi-segment to two primary segments: Take 5 Oil Change (company-owned, standalone segment) and Franchise Operations (Meineke, Maaco, CARSTAR, 1-800-Radiator consolidated). Post-car-wash-divestiture. Franchise model creates a decentralized operating challenge where corporate strategy must be executed by independent operators.

Culture Signals

Post-Crisis Rebuilding: The financial reporting missteps created an internal trust deficit. Employees and franchisees wonder: is this a company that knows what it's doing? New leadership must rebuild credibility through execution discipline.

Multi-Brand Identity: Employees identify with their brand (Meineke, Maaco, Take 5) more than with 'Driven Brands' the parent. This creates coordination challenges when corporate initiatives require cross-brand execution.

Franchise Independence: Thousands of independent franchisees have limited loyalty to corporate transformation agendas. They care about unit economics, customer traffic, and operational support. Corporate restructuring is noise unless it directly improves their P&L.

Glassdoor: [INFERRED] Mixed reviews reflecting corporate uncertainty, franchise operational challenges, but optimism about new leadership direction.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging Driven Brands Holdings.

1. **2025-05-09 - Daniel Rivera appointed President & CEO; former CEO Fitzpatrick moved to non-executive chair**
   New CEO specifically hired for turnaround - creates 90-day window for establishing transformation agenda and engaging external advisors
2. **2025-01-01 - Simplified segment structure: Take 5 standalone + consolidated franchise segment**
   Organizational restructuring requires new operating rhythms, reporting lines, and coordination mechanisms
3. **2024-03-01 - Financial reporting missteps caused stock to slide 30%, wiping $1B in market value**
   Trust crisis creates urgency for visible execution discipline - McChrystal's operating cadence provides the structure that rebuilds confidence
4. **2025-06-01 - Sold U.S. car wash business; proceeds directed to debt reduction targeting 3x leverage by 2026**
   Portfolio simplification creates organizational redesign moment - fewer businesses to manage, opportunity to build tighter operating model
5. **2025-07-01 - Mo Khalid appointed as COO to drive operational execution across multi-brand portfolio**
   New operational leader = fresh perspective on cross-brand coordination and willingness to engage external expertise

SECTION 6

McChrystal Fit Assessment

> *Clear organizational need (post-crisis turnaround + franchise alignment), new leadership open to change, and revenue $2.4B supports advisory engagement. However, debt reduction priorities may constrain advisory spend, and the franchise model limits corporate's ability to mandate change. Rating moves to Strong if Rivera signals willingness to invest in organizational transformation beyond cost-cutting.*

Primary Problem

Rebuilding organizational credibility and execution discipline after a financial reporting crisis, while simultaneously restructuring segments, divesting businesses, reducing debt, and managing a decentralized franchise network of 5,000+ locations that must execute a turnaround strategy they didn't design.

Best McChrystal Capability Fit

Organizational transformation and decentralized alignment - Driven Brands needs to align 5,000+ independently operated locations behind a turnaround strategy while rebuilding internal trust. McChrystal's model for empowering execution at the edge (franchisees) while maintaining strategic alignment at the center is the direct fit.

Likely Objections to Engagement

Budget is being cut, not expanded - debt reduction is priority
New CEO wants to establish his own approach first
Franchisees may resist corporate-mandated change programs
Financial reporting crisis created audit/compliance focus that crowds out transformation

Competitive Advisory Landscape

AlixPartners - turnaround and restructuring expertise
FTI Consulting - financial advisory during post-crisis period
McKinsey - franchise operations optimization
Bain Retail practice - multi-brand portfolio strategy

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. Ten months into the turnaround, what's been the hardest part of rebuilding execution discipline across 5,000 locations when the financial reporting issues damaged trust in corporate leadership?

Acknowledge the trust deficit directly - show awareness that franchise turnarounds succeed or fail based on franchisee confidence in corporate.

2. With the simplified segment structure, how are the brand teams (Take 5, Meineke, Maaco) coordinating on

shared capabilities versus competing for resources?

Surface the cross-brand coordination challenge that the new segment structure was designed to solve but may not yet be solving.

Recommended Meeting Framing

Frame as a conversation about what McChrystal has learned from organizations that rebuilt trust and execution discipline after a crisis. The military parallel is genuine: McChrystal rebuilt JSOC's operating model during a period of intense external scrutiny and internal doubt. Same dynamics apply to post-crisis corporate turnarounds.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects Driven Brands Holdings's market positioning to potential McChrystal engagement opportunities.

Multi-Brand Portfolio: Driven Brands owns multiple consumer-facing brands (Take 5, Meineke, Maaco, CARSTAR) that have individual brand equity with customers. The parent brand 'Driven Brands' is invisible to consumers - it's a holding company brand.

Brand Hierarchy Challenge: Take 5 is growing and becoming the flagship. Legacy brands (Meineke, Maaco) carry decades of consumer recognition but may be underinvested. CARSTAR serves collision repair. The brand portfolio strategy - which brands get investment, which get maintained, which get rationalized - is fundamentally an organizational resource allocation decision.

Brand Threats: The financial reporting crisis damaged the corporate brand (investor/franchise partner trust), not consumer brands. But if the corporate crisis leads to underinvestment in franchise support, consumer brand quality eventually suffers.

McChrystal Connection: Multi-brand franchise organizations require decentralized brand execution with centralized capability building. McChrystal's operating model ensures each brand maintains its identity while leveraging shared operations - the franchise coordination challenge at its core.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing Driven Brands Holdings. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Post-Crisis Execution Discipline

Financial reporting missteps destroyed $1B in market value. The turnaround requires visible, measurable execution discipline that rebuilds trust with investors, franchisees, and employees. McChrystal's operating rhythm (structured cadences, transparent metrics, rapid accountability) provides the execution architecture that demonstrates organizational transformation is real - not just another strategic deck.

Fit Dimension 2: Franchise Network Alignment

5,000+ independently operated locations must execute corporate strategy without corporate control. McChrystal's decentralized authority model - empowered execution at the edge, aligned on intent - is the exact framework for franchise transformation. McKinsey can design the franchise strategy; McChrystal builds the alignment system that gets independent operators to execute it.

Fit Dimension 3: Multi-Brand Coordination

Multiple brands competing for corporate resources, attention, and investment. The simplified segment structure was designed to reduce this friction, but structural change doesn't automatically create behavioral change. McChrystal's cross-functional coordination methodology ensures brand teams collaborate rather than compete.

9b. Cumulative Case

Driven Brands is a post-crisis turnaround with the added complexity of franchise decentralization. Signal chain: Financial reporting crisis -> $1B market value destruction -> CEO replaced -> portfolio simplified (car wash sold) -> segments restructured -> new COO hired -> debt reduction underway -> 5,000 franchisees awaiting proof that corporate knows what it's doing. Revenue potential: $300K initial (franchise alignment assessment), $700K-$1M deployment, $200K ongoing. Total: $1.2M-$1.8M over 18 months.

9c. Enterprise Issues

1. Trust Deficit: The financial reporting errors created a credibility gap between corporate and franchisees/investors that operational excellence must close. 2. Franchise Execution Gap: Corporate can restructure segments, but franchisees execute (or don't). Translating strategy into franchisee behavior is the critical organizational challenge. 3. Multi-Brand Resource Allocation: Take 5 growth consumes investment that legacy brands (Meineke, Maaco) may need to maintain relevance. 4. Debt-Constrained Transformation: The leverage target (3x by 2026) limits investment in transformation - every dollar of advisory spend must demonstrate ROI. 5. New Leadership Integration: CEO (10 months), COO (newer) must build credibility with a skeptical organization and franchise network.

9d. Expected Outcomes

1. Franchise Alignment Cadence: Operating rhythm connecting corporate strategy to franchisee execution. Measurable: franchisee satisfaction scores improve 15+ points. 2. Cross-Brand Coordination: Mechanism for shared capability building. Measurable: shared services utilization increase 25%. 3. Execution Visibility: Transformation scorecards visible to all stakeholders. Measurable: investor confidence metrics improve. 4. Turnaround Velocity: Accelerated execution on restructuring initiatives. Measurable: debt reduction milestones achieved on or ahead of schedule.

9e. Key Stakeholders

Office of CEO

Leader: Daniel Rivera, CEO

Function: Turnaround leadership

McChrystal Relevance: Executive sponsor

Operations

Leader: Mo Khalid, COO
Function: Multi-brand operations
McChrystal Relevance: Priority: Execution across 5,000 locations

Take 5 Oil Change

Leader: [Brand President]
Function: Fastest-growing segment
McChrystal Relevance: Growth management

Franchise Operations (Meineke, Maaco, CARSTAR)

Leader: SVP Franchise [INFERRED]
Function: Franchisee relationships
McChrystal Relevance: Priority: Franchise alignment

Finance

Leader: Joel Arnao [INFERRED], CFO
Function: Debt reduction, financial controls
McChrystal Relevance: Budget gatekeeper

Board

Leader: Jonathan Fitzpatrick, Non-Exec Chair
Function: Governance, transition
McChrystal Relevance: Board-level introduction vector

9f. Opportunity Thesis

Why Now: 10 months post-CEO-change, past the assessment phase and into execution. The simplified segment structure is in place but not yet operationalized at the franchise level. This is the window between organizational redesign and franchise execution - where McChrystal's operating model creates maximum leverage.

Why McChrystal, Not McKinsey: AlixPartners handles the financial restructuring. McKinsey might advise on franchise strategy. But neither builds the franchise alignment system that translates corporate strategy into independent operator behavior at 5,000 locations. McChrystal's military model of decentralized execution with centralized intent is the direct analog.

Phased Engagement: Phase 1 ($250K-$350K): Franchise alignment assessment + pilot with one brand. Phase 2 ($500K-$700K): Multi-brand deployment. Phase 3 ($200K ongoing): Franchise cadence management. Total: $1M-$1.5M.

Multi-Threaded Pursuit:

- Thread 1: Mo Khalid (COO) - operational execution. Angle: "How are you translating the new segment structure into changed behavior at 5,000 locations?"
- Thread 2: SVP Franchise Operations - franchisee alignment. Angle: "How are franchisees responding to the turnaround plan - and what would accelerate their buy-in?"
- Thread 3: Jonathan Fitzpatrick (Non-Exec Chair) - board introduction. Former CEO who understands the organizational challenges and may champion external help.